Business Management SL · Set A · Paper 2

Worked mark scheme · 90 minutes · 40 marks

Award equivalent valid methods and conclusions. Apply the indicated mark allocation to each part. Credit consistent follow-through where the subsequent reasoning remains valid.

Section A · Clayfold Studio [12]

(a) **[2]**

Define contribution per unit.

1 mark · The selling price of a unit less its variable cost.

1 mark · It is the amount available toward fixed costs and then profit.

(b) **[3]**

Calculate the current monthly break-even output and margin of safety in units.

1 mark · Contribution is 18 − 8 = CU 10.

1 mark · Break-even is 18,000/10 = 1,800 cups.

1 mark · Margin of safety is 2,400 − 1,800 = 600 cups.

(c) **[4]**

Calculate the additional monthly profit from the school order and explain one condition behind the calculation.

1 mark · Additional unit contribution is 13 − 8 − 1 = CU 4.

1 mark · Monthly gain is CU 2,000.

1 mark · Combined sales of 2,900 fit within the stated capacity.

1 mark · Existing sales must be retained and other costs unchanged.

(d) **[3]**

Explain one risk to Clayfold's regular sales from accepting the discounted order.

1 mark · Regular buyers may learn the school price.

1 mark · They may negotiate discounts or postpone buying.

1 mark · That would lower contribution on the larger regular sales base.

Section A · Isla Bakery [8]

(a) **[4]**

Construct the two-month cash-flow forecast, showing net cash flow and closing balance for each month.

1 mark · July outflows are 19,100, including the deposit.

1 mark · July net flow is −6,300 and closing cash is −1,700.

1 mark · Carry −1,700 into August and calculate net flow of 2,300.

1 mark · August closes at CU 600.

(b) **[4]**

Explain two ways Isla could address the July shortage, including one drawback of each.

1 mark · Negotiate a later or staged oven deposit.

1 mark · The supplier could delay installation or withdraw the price.

1 mark · Arrange short-term overdraft finance covering at least CU 1,700.

1 mark · Interest and bank approval may be costly or uncertain.

Section B · Option 1 · Cedar Books [20]

(a) **[2]**

Calculate the current gross profit margin.

1 mark · Gross profit is CU 72,000.

1 mark · Margin is 36%.

(b) **[4]**

Calculate operating profit and operating profit margin if the proposal meets its forecasts.

1 mark · Current operating profit is CU 18,000.

1 mark · Add incremental profit of CU 4,000.

1 mark · Forecast operating profit is CU 22,000.

1 mark · Margin is 22,000/224,000 = 9.82%.

(c) **[4]**

Explain two limitations of the market research for this decision.

1 mark · Current members omit potential new customers.

1 mark · Their preferences can misstate demand from the broader market.

1 mark · Interest in a talk differs from willingness to pay.

1 mark · Only 12 of 40 indicated willingness, so forecasting sales from the 30 interested would overstate demand.

(d) **[10]**

Evaluate whether Cedar Books should launch regular paid evening events.

10 marks · The forecast raises profit from 18,000 to 22,000 and the margin from 9% to 9.82%. There is little buffer if paid attendance falls short. Staff transport could raise costs or affect retention. Trial a small number of prepaid events, set a minimum booking threshold and check staffing costs before committing. Community engagement could justify a smaller direct return if daytime sales also increase. Use best fit across the response. 0 gives no creditable response. At 1–2, identify a relevant issue with little development. At 3–4, explain a point with limited case evidence. At 5–6, develop a relevant argument using case evidence. At 7–8, weigh competing arguments using specific evidence and reach a supported judgement. At 9–10, sustain a balanced case-specific judgement, explain a material limitation or condition and show how it affects the decision. Credit a different conclusion when the analysis supports it.

Section B · Option 2 · Valewood Cycles [20]

(a) **[2]**

Calculate Valewood's current annual profit.

1 mark · Contribution is 2,500 × 36 = CU 90,000.

1 mark · Annual profit is CU 18,000.

(b) **[4]**

Calculate the extra packages needed to cover the extra fixed costs and the annual change in profit if the forecast is correct.

1 mark · Extra fixed costs divided by 36.

1 mark · 500 extra packages.

1 mark · Expected extra contribution is 650 × 36.

1 mark · Expected increase is CU 5,400.

(c) **[4]**

Explain two non-financial factors affecting the reliability of the forecast.

1 mark · The club sample excludes casual cyclists.

1 mark · Its reported interest may overstate repeat demand.

1 mark · Mechanics divide their time between two locations.

1 mark · Delays in the workshop could reduce existing customer retention.

(d) **[10]**

Discuss whether Valewood should introduce the mobile service.

10 marks · The estimate exceeds the 500-package threshold by 150, but a loss of existing work or travel costs could consume the CU 5,400 gain. Customers without transport may value home repairs and generate repeat business. Test one route with paid appointments and measure workshop waiting times. Adopt if incremental volume, actual travel costs and service quality support expansion. Use best fit across the response. 0 gives no creditable response. At 1–2, identify a relevant issue with little development. At 3–4, explain a point with limited case evidence. At 5–6, develop a relevant argument using case evidence. At 7–8, weigh competing arguments using specific evidence and reach a supported judgement. At 9–10, sustain a balanced case-specific judgement, explain a material limitation or condition and show how it affects the decision. Credit a different conclusion when the analysis supports it.

End of mark scheme · 40 marks